Massey University Investment Club

Understanding Asset Tokenization

(Week ending 6 March 2026)

About MUIC

Massey University Investment Club (MUIC) is a student-led organization on the Albany campus at Massey University. Through weekly discussions, market outlooks, and industry engagement, MUIC aims to bridge academic learning with real-world finance.

Editorial Note

This weekly report is prepared for educational purposes only by members of MUIC to provide a student-driven perspective on New Zealand's macroeconomic and financial developments. The objective is to enhance analytical thinking and encourage discussion within the club.

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Committee Members

Wenqi Zhang	President
Jordan Wilson	Secretary
Thu Ngo	Secretary
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NZ economic Snapshot

OCR: 2.25% (On Hold)

Inflation: 3.1% YoY

Unemployment rate: 5.4%

"The next generation for markets, the next generation for securities, will be tokenization of securities."

Larry Fink
(CEO of BlackRock)

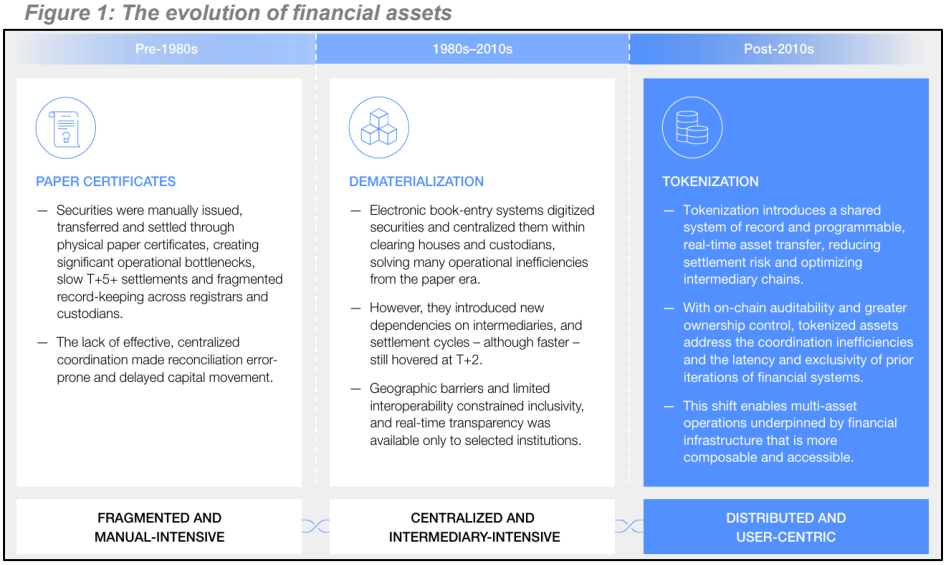
What is asset tokenization?

Asset tokenization is the process of creating a digital representation of a real-world asset on a blockchain. This digital representation, called a *token,* represents ownership of the asset. Different types of assets can be tokenized, including financial assets such as stocks, funds, and bonds, as well as real assets like commodities and real estate. Even unique assets such as artworks can also be tokenized.

Tokenization is already appearing in financial markets today. One example is Stablecoin, which is a digital token that represents traditional currency and is designed to maintain a fixed value, often one-to-one with a fiat currency.

By turning ownership into digital tokens, assets can become easier to trade, transfer, and manage. Because transactions are recorded on a blockchain, the process may become more efficient and require fewer intermediaries. As a result, tokenization has the potential to gradually change how financial assets move within the global financial system.

Figure 1: The evolution of financial assets



Source: World Economic Forum

Market Potential and Institutional Adoption

The asset tokenization idea has attracted more and more attention from financial institutions and policymakers. Several major banks and asset managers are already experimenting with blockchain-based financial products. Firms such as JPMorgan Chase, Goldman Sachs, and Franklin Templeton have launched pilot projects involving tokenized funds, bonds, or settlement systems.

More recently, BlackRock also entered this space by launching the BlackRock USD Institutional Digital Liquidity Fund, a tokenized money market fund issued on a blockchain. This development highlights how large asset managers are beginning to explore blockchain as part of future financial infrastructure.

Consulting firms have also suggested that the market could grow rapidly in the coming years. According to Boston Consulting Group, tokenized assets could reach several trillion dollars by 2030 as financial markets gradually adopt digital technologies.

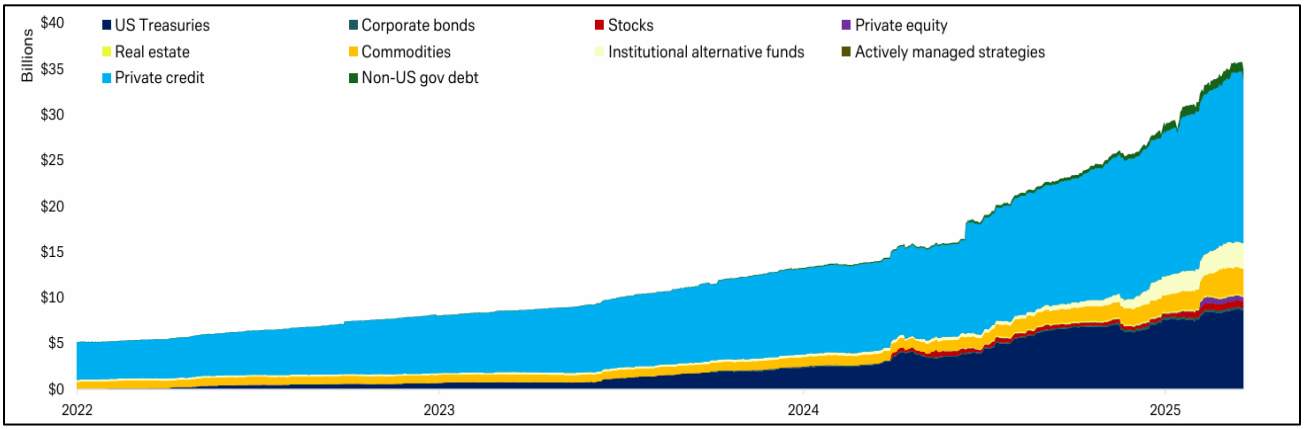
Figure 2: An analysis of tokenization waves by asset capitalization potential and adoption drivers

Wave	2030 tokenized asset market capitalization base case, $ trillion		Examples of use cases driving adoption
1	Cash and deposits[1]	*Excluded from total*	24/7 business-to-business payments
	Mutual funds and ETFs[2]	~0.4	Money market fund distribution
	Loans and securitization[3]	~0.3	Streamlined warehouse lending
	Bonds and exchange-traded notes[4]	~0.3	Intraday repo/collateral mobility
2	Alternative funds[5]	~0.2	Distribution and investor onboarding
	Alternative assets[6]	~0.1	Liquid secondary market
	Unlisted equities[7]	~0.1	Liquid private markets for secondary sales
	Precious metals[8]	~0.1	Collateral in decentralized finance
3	Publicly listed equities[9]	<0.1	Clearing and settlement efficiencies
	Intangible assets[10]	<0.1	Real-time distribution of royalties
	Derivatives[11]	<0.1	Clearing and settlement efficiencies
	Total value tokenized in 2030	~1.9	

Source: McKinsey & Company

Tokenization may be particularly useful for illiquid assets, such as real estate, private equity, or infrastructure projects. By dividing these assets into smaller digital shares, tokenization could allow more investors to participate in markets that traditionally require large amounts of capital.

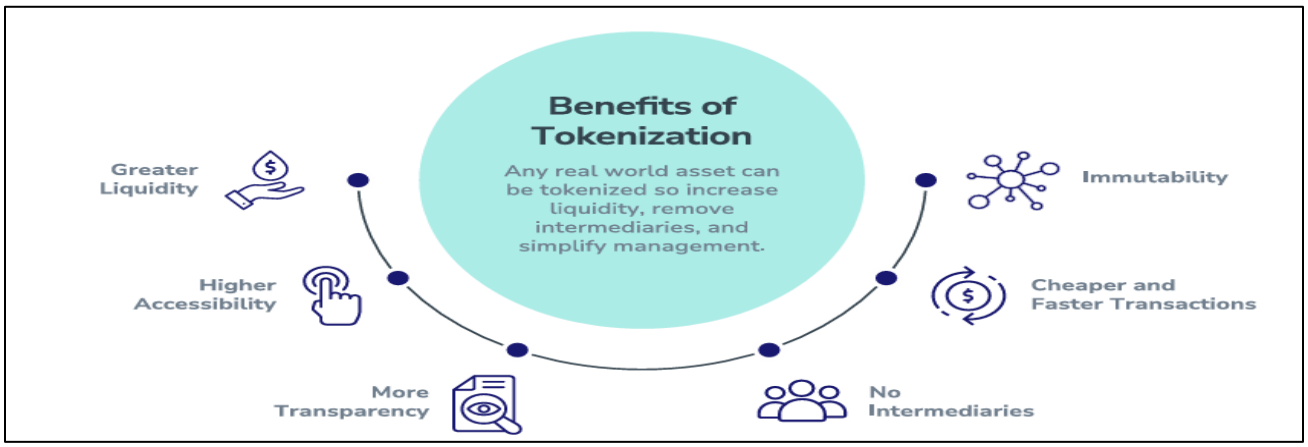
Figure 3: Market size of tokenized real-world assets (ex-stablecoins)



Source: Deutsche Bank Research, RWA Database

Potential Key Benefits

Figure 3: Benefits of asset tokenization



Source: Asset Tokenization, Asset and Wealth Management (GFTN, 2024)

Asset tokenization offers several important benefits for financial markets.

- ***Immutability***- transaction records cannot be changed or deleted easily, which increases trust and security.
- ***Cheaper and faster transactions-*** digital transfers can happen quickly without complex processes.
- ***Fewer or no intermediaries-*** lowering or removing intermediaries, such as brokers or clearing houses, can lower the costs.
- ***Greater transparency-*** as we all know, blockchain systems provide greater transparency, since all the transactions can be recorded and verified on a shared ledger.
- ***Higher accessibility-*** tokenization creates higher accessibility by allowing fractional ownership, so investors can buy small portions of expensive assets.
- ***Greater liquidity-*** tokenized assets are easier to trade on digital platforms 24/7.

Key Considerations

There are also some important considerations when developing asset tokenization.

- ***Cybersecurity***- it is a major concern because tokenized assets are stored on digital systems and blockchain networks. If systems are hacked or private keys are lost, investors could lose access to their assets.
- ***Financial stability-*** if tokenized markets grow quickly without proper risk management, they could create new risks for the entire financial system. (You could refer to Pre-GFC situation.)
- ***Regulatory developments-*** many countries are still creating rules for tokenized assets. Clear regulations are needed to protect investors and ensure that tokenized markets operate safely and fairly.

Conclusion

In conclusion, asset tokenization has the potential to transform financial markets by making transactions faster, cheaper, and more efficient. It offers several benefits, such as immutability, greater transparency, higher accessibility, and improved liquidity through fractional ownership. By reducing intermediaries and using blockchain technology, tokenization can also simplify many financial processes. However, there are still important challenges to consider, including cybersecurity risks, financial stability concerns, and the need for clear regulations. Overall, while asset tokenization presents many opportunities, its future development will depend on technological progress, strong security systems, and appropriate regulatory frameworks.

Recommended Readings

World Economic Forum

State Street

McKinsey & Company

J.P.Morgan First Tokenized Money Market Fund

Larry Fink & Rob Goldstein